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Digital Assets in a Pennsylvania Divorce

Cryptocurrency may exist only as entries on a blockchain, but it can represent real value in a divorce. Bitcoin, stablecoins, non fungible tokens (NFTs), and other digital assets raise familiar questions: Who owns the asset? When was it acquired? Is it marital or separate property? What is it worth? How can it be transferred safely?

DIVORCE & DIGITAL PROPERTY

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The answers depend on evidence, timing, and the facts of the marriage. For families across western Pennsylvania, the first practical step is to treat digital assets as part of the complete financial picture rather than as a side issue.

Start by identifying the asset and who controls it

A digital asset can be held through a custodial exchange, a hosted account, a software wallet, a hardware wallet, or several wallet addresses. Ownership may not be obvious from a monthly statement. An account name, login, public wallet address, transaction history, or control of the private keys can each matter.

Pennsylvania procedure reflects the need for a complete financial inventory. Under [Pennsylvania Rule of Civil Procedure 1920.33](#), parties pursuing equitable division must identify marital assets, assets claimed as nonmarital, estimated values, and supporting information. For digital assets, useful records may include:

- Exchange statements and downloadable transaction histories
- Wallet addresses and blockchain transaction records
- Bank or credit card transfers to and from an exchange
- Tax returns and digital asset reporting forms
- Purchase dates, acquisition costs, transfers, staking rewards, and sales
- Records showing whether a wallet is custodial or self controlled

Gathering records is different from accessing an account without authorization. A person should preserve lawful records and discuss formal discovery options with counsel rather than guessing passwords, moving assets, or using someone else's credentials.

Marital or separate property depends on timing and tracing

Pennsylvania does not classify an asset by whether it is traditional or digital. The starting point under [23 Pa.C.S. § 3501](#) is that property acquired during the marriage is presumed marital, regardless of how title is held. The statute excludes certain categories, including property acquired before marriage, property excluded by a valid agreement, and some gifts or inheritances.

That framework can become complicated with cryptocurrency. Coins bought during the marriage may be marital even if they sit in a wallet controlled by one spouse. Coins owned before marriage may have a nonmarital component, but records are needed to trace the original holding. Pennsylvania law also treats the increase in value of certain nonmarital property as marital property, measured under the statute's rules. Transfers between wallets, reinvestment, staking rewards, token swaps, or the mixing of premarital and marital purchases can make tracing harder.

A wallet label or exchange account alone does not prove classification. Transaction level records often matter.

Volatility makes the valuation date important

Digital asset prices can change significantly between separation, negotiation, mediation, and final distribution. A statement that was accurate last month may not answer what the holding is worth today.

Rule 1920.33 requires parties' pretrial asset information to include both the value and the valuation date, along with the facts and documentation supporting the value. A sound digital asset valuation should identify the specific asset, quantity, pricing source, date and time, and any transfer or liquidation costs. Thinly traded tokens and NFTs may require more analysis than a widely traded cryptocurrency because a quoted price may not reflect what the owner could actually receive in a sale.

Pennsylvania's equitable distribution statute, [23 Pa.C.S. § 3502](#), directs courts to divide marital property equitably after considering relevant factors. Those factors include each party's contribution to or dissipation of marital property, tax ramifications, and the expense of sale, transfer, or liquidation. "Equitable" does not automatically mean an equal split of each individual asset.

Discovery may extend beyond an exchange statement

Digital assets can leave records in several places. Exchange data may show purchases and withdrawals. Bank statements may show funding. A blockchain explorer may show transfers associated with a known public address. Tax documents may identify transactions that do not appear on a current account balance.

The goal is to reconstruct the relevant history: what was acquired, when, where it moved, what was sold, and whether other assets or income resulted. If records are incomplete or ownership of an address is disputed, counsel may consider targeted discovery or appropriate financial or digital asset expertise. Not every case needs an expert.

A secure transfer plan should preserve access and records

Dividing a digital asset can involve an in kind transfer, a sale and division of proceeds, or an offset against other property. Each approach has different risks. A transfer to the wrong network or wallet address may be irreversible. Sharing a seed phrase or private key can expose the entire wallet.

Any settlement involving an in kind transfer should be specific about the asset, quantity, wallet or custodian, timing, transaction fees, valuation method, and confirmation of receipt. Private keys and seed phrases should not be placed in publicly filed documents or ordinary email. Depending on the circumstances, a controlled process may include confirming the destination network and address, using secure custody practices, preserving the transaction ID, and documenting the transfer for future tax reporting.

Tax consequences can outlast the divorce

The [IRS treats digital assets as property](#). A sale or exchange can generate gain or loss based on adjusted basis and the amount realized. Even using digital assets to pay certain transaction costs can have tax consequences.

Transfers between spouses, or between former spouses when incident to divorce, are generally subject to a federal nonrecognition rule. But nonrecognition at transfer does not erase embedded gain. [IRS Publication 504](#) explains that the receiving spouse generally takes the transferring spouse's adjusted basis and that sufficient basis and holding period records must accompany the property. That makes acquisition history important when comparing two assets with the same current market value.

Because tax treatment can turn on the settlement structure, timing, residency, and later sale, legal and tax advice should be coordinated before assets move.

Digital assets require a fact specific plan

Early identification, complete records, a defensible valuation date, and careful transfer language can reduce avoidable uncertainty. If cryptocurrency, NFTs, or other digital assets may be part of your Pennsylvania divorce, [contact BOK Law & Mediation Services](#) to discuss how the property issues fit your family's circumstances and available process options.

This article provides general information only and is not legal advice, tax advice, financial advice, or investment advice. Reading it does not create an attorney client relationship. Laws and guidance can change, and outcomes depend on the facts of each matter.

Sources

- [23 Pa.C.S. § 3501, Definitions](#) Marital property classification and increases in nonmarital value.
- [23 Pa.C.S. § 3502, Equitable division of marital property](#) Distribution factors, taxes, and transfer costs.
- [Pa.R.C.P. 1920.33, Equitable Division](#) Inventory, valuation, and disclosure requirements.
- [IRS, Frequently Asked Questions on Digital Asset Transactions](#) Property, basis, disposition, and recordkeeping rules.
- [IRS Publication 504, Divorced or Separated Individuals](#) Divorce transfer and carryover basis rules.